AUSTRALIAN COMPETITION & CONSUMER COMMISSION

Alcoa – South32's Aluminium Assets

MN-25047

Phase 1 Determination

Acquisition may be put into effect

5 November 2026

1. Determination

Notified acquisition	Alcoa Corporation (**Alcoa**) proposes to acquire shares in five legal entities within the South32 Group (**South32**) that hold interests in bauxite, alumina and aluminium assets in Australia, South Africa and Brazil: • South32 Aluminium (Worsley) Pty Ltd • South32 Aluminium (RAA) Pty Ltd • South32 Minerals SA • South32 Aluminium SA (Pty) Ltd, and • Hillside Aluminium (Pty) Ltd (**South32's Aluminium Assets**) (the **Acquisition**).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the *Competition and Consumer Act 2010* (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Alcoa, a Delaware corporation headquartered in Pittsburgh, Pennsylvania, is a globally integrated aluminium producer, with assets and operations active in each step of the aluminium production chain. Alcoa's assets are located in Australia, Brazil, North America, Africa and Europe. In Australia, Alcoa has the following operating assets: • two bauxite mines in Western Australia (Huntly and Willowdale) • two alumina refineries in Western Australia (Pinjarra and Wagerup) • a majority interest in an aluminium smelter in Victoria (Portland). The vendor, South32, headquartered in Perth, Western Australia, is a diversified natural resources company with operations in the aluminium production chain, with assets in Australia, South Africa and Brazil. South32 also has other mining operations in copper and zinc, as well as a 63.7% ownership stake in the Mozal aluminium smelter in Mozambique, which are not part of the Acquisition. In Australia, South32's Aluminium Assets comprise an integrated operation in Western Australia where it mines bauxite (Boddington) and transfers that bauxite to an alumina refinery (Worsley).
Reasons for determination	The reasons for the ACCC's determination are set out in section 2.

2. Statement of reasons

2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act which is to enhance the welfare of Australians including through the promotion of competition, and all relevant matters, including the interests of consumers.

2.2. In Phase 1, the ACCC must consider whether an acquisition could substantially lessen competition, which requires an assessment of the relevant markets in Australia in which the parties compete and how those markets could be affected by an acquisition. This includes markets that are wholly or partly in Australia and operate nationally, regionally or locally.

2.3. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines.

2.4. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, additional information provided by Alcoa and South32 (the **Parties**), feedback and additional information provided by third parties, and publicly available information.

2.5. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

Overlap and supply chain relationship between the Parties

2.6. The Parties both have interests in each step of the aluminium supply chain:

- bauxite is extracted from mines, crushed and then transported to a refinery
- the bauxite ore is put through a chemical refining process to produce smelter grade alumina
- smelter grade alumina is then transported to aluminium smelters to produce primary aluminium.

2.7. On the basis of information provided by the Parties and third-party feedback, the ACCC's assessment of the Acquisition was focused on the Parties' overlap in the supply of smelter grade alumina as the most significant area of competitive overlap between the Parties in Australia.

2.8. While the ACCC considered the extent of competitive overlap between the Parties for the supply of bauxite and primary aluminium, the ACCC found:

- neither party sells bauxite to customers in Australia, as both Parties internally supply bauxite production to facilitate their own alumina refining operations in Australia
- there is no competitive overlap between Alcoa and South32 in the supply of primary aluminium to customers in Australia.

2.9. As such, the ACCC did not consider competitive effects arising from the Acquisition in relation to the supply of bauxite and primary aluminium further.

Industry background

2.10. In Australia, there are five alumina refineries owned by three vertically integrated suppliers that use alumina in their own aluminium smelters, as well as supply to third parties.

Table 1: Alumina refineries in Australia

Refinery	Location	Ownership
Pinjarra	WA	Alcoa (100%)
Wagerup	WA	Alcoa (100%)
Worsley	WA	South32 (86%), Japan Alumina Associates (10%), Sojitz Alumina (4%)
Yarwun	QLD	Rio Tinto (100%)
Queensland Alumina Ltd	QLD	Rio Tinto (80%), UC Rusal (20%)

2.11. Data provided by the Parties shows that Australia is the largest exporter of smelter grade alumina. Australian exports far exceed both imports and the volume required by Australian customers for use in Australian aluminium smelters. Information available to the ACCC indicates that Brazil, China, India, Indonesia and Vietnam are also significant producers of smelter grade alumina.

2.12. There are multiple global refinery operators that are vertically integrated at all levels of the supply chain. These operators use their own smelter grade alumina in their aluminium smelters (often referred to as 'captive' supply) and sell surplus volumes to third parties (often referred to as the 'merchant market').

2.13. Smelter grade alumina is a globally traded commodity, with prices primarily influenced by supply and demand. The ACCC understands that prices are typically linked to an agreed basket of third-party price indices, published by price reporting agencies including S&P Global Platts, CRU and Fastmarkets, plus any negotiated premiums or discounts. Customers typically take delivery of shipments at the port nearest the alumina refinery, and are responsible for freight and transportation costs.

2.14. The ACCC understands aluminium smelters require a stable and secure source of smelter grade alumina in order to maintain production at the smelter. As such, customer demand is highly inelastic.

2.15. The ACCC also understands that smelter operators tailor the smelter to their source of smelter grade alumina (i.e. the refinery at which the alumina was produced), with any new source of smelter grade alumina requiring testing and qualification before it can be reliably used in the smelter. Despite the cost and time involved in this process, information available to the ACCC indicates that this process is commonly undertaken by smelters, in part to ensure security of alumina supply.

2.16. In Australia, there are four aluminium smelters, identified in the table below.

Table 2: Aluminium smelters in Australia

Smelter	Location	Ownership
Portland	Victoria	Alcoa (55%), CITIC (22.5%) and Marubeni Aluminium Australia (22.5%)
Bell Bay	Tasmania	Rio Tinto (100%)
Boyne Island	Queensland	Rio Tinto (73.5%), YKK Aluminium (9.5%), UACJ Australia (9.29%), Southern Cross Aluminium (7.71%)
Tomago	New South Wales	Rio Tinto (51.55%), Gove Aluminium Finance (36.05%), Norsk Hydro Aluminium (12.4%)

2.17. Domestic consumption of smelter grade alumina represents less than 20% of overall Australian production capacity. As identified in the tables above, all four smelters are majority-owned and operated by vertically integrated competitors, being Alcoa and Rio Tinto. Non-captive Australian demand (i.e. demand from entities other than Alcoa and Rio Tinto) represents a small proportion of overall domestic demand.

Competition assessment

2.18. The ACCC considers the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the supply of smelter grade alumina in Australia.

2.19. To the extent there are contestable customers in Australia, the ACCC finds that Alcoa is likely to be constrained by alternative suppliers, including alternative Australian refineries as well as international competitors through trade or swap arrangements, and producers in the Asia-Pacific region.

2.20. The ACCC had regard to third party feedback regarding the Parties' combined market share of around 60% of Australian smelter grade alumina production, their significance to merchant market sales and price indices reflecting shipments from Western Australia. However, for the reasons outlined below, the ACCC concluded that these factors were not sufficient to suggest the Acquisition could substantially lessen competition in Australia.

2.21. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).

Extent of competition to supply Australian customers

2.22. Information available to the ACCC indicates that minority smelter owners generally source smelter grade alumina through arrangements with the majority owner. As such, there are few contestable customers in Australia and contestable supply volumes are small.

2.23. Information available to the ACCC indicates that South32 is not a significant competitor in the supply of smelter grade alumina to Australian customers. There are few instances of South32 supplying Australian customers in recent years. The ACCC notes that Australian customers were generally not concerned about the effect of the Acquisition on competition.

Constraint from alternative suppliers

2.24. The Acquisition would reduce the number of large-scale smelter grade alumina producers from three to two in Australia, and from two to one in Western Australia. Nevertheless, the ACCC considered that Alcoa would continue to face effective competition to supply customers in Australia from multiple alternative suppliers, including Rio Tinto as the alternative Australian producer, international producers and traders.

2.25. Rio Tinto would remain as a competing producer of smelter grade alumina, with two refineries located in the Gladstone region of Queensland, located in closer proximity to some aluminium smelters on the East Coast of Australia. Although Rio Tinto has announced a curtailment of alumina production from its Yarwun facility, the ACCC considered that this was unlikely to have a material effect on supply to Australian customers.

2.26. The ACCC also had regard to third-party feedback, and submissions and data from the Parties regarding alumina trade or swap arrangements, whereby producers and traders can viably compete for customer contracts using smelter grade alumina purchased from third-party refineries. Relevantly, the ACCC had regard to the volume of smelter grade alumina produced in Australia, including those available through trade or swap arrangements, relative to contestable Australian demand.

2.27. The ACCC received mixed submissions as to whether Asian imports of smelter grade alumina are economically and operationally viable substitutes for domestic supply for Australian customers. Information available to the ACCC indicates that Australian aluminium smelters have used imported smelter grade alumina. However, the ACCC also received third-party feedback that the increased transportation costs relative to domestic supply meant that some customers did not consider imports to be economically viable substitutes. The ACCC did not consider it necessary to arrive at a concluded view on this issue.

Alumina supply in the Asia-Pacific region

2.28. As identified above, the ACCC received submissions from the Parties and third-party feedback indicating that prices for smelter grade alumina reflect global supply and demand conditions. Some third parties raised concerns that Alcoa and South32 have a material impact on price indices that are calculated free on board in Western Australia.

2.29. The ACCC received mixed information and third-party feedback about the likely significance of Alcoa and South32 to the global trade of smelter grade alumina, and the impact on price indices. This is in the context of the Parties' relatively limited shares of smelter grade alumina production globally, increasing production from refineries in India, Indonesia and Vietnam, and the potential for material exports from China. Relevantly, S&P Global Platts reflects shipments from Chinese ports, and Fastmarkets also reflects trades from India, Indonesia and Vietnam.

2.30. However, the ACCC did not consider it necessary to reach a concluded view on these issues. As identified above, there are few contestable customers of smelter grade alumina in Australia, and local supply and demand dynamics indicate that there is likely to be effective competition in the future.

2.31. As a substantial proportion of primary aluminium is exported, downstream Australian customers are also unlikely to be impacted by supply and demand for smelter grade alumina in the Asia-Pacific region.

3. Applications for review

3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act